

natural level or suppressing prices) will not work.² If the intervention spiral does not lead to the abolition of free markets altogether, it will sooner or later come to an end. This means that at some point the government's influence on the market will disappear (if the market does not disappear instead). And consequently, relative value analysis would be correct in treating political intervention just like statistical noise, creating trading opportunities via disruptions of the natural market equilibrium that cannot last forever. However, given the large firepower of governments and the political will to pursue the intervention spiral, political impacts on the market can cause unusually large and long-lasting mispricings. In other words, governments have the ability to create a lot of noise in the markets. From a practical point of view, it is therefore essential to adjust the threshold for entering into arbitrage positions upwards now that the government is on the other side of the trade.³ Conversely, the profit potential from eventually correcting imbalances is nowadays also especially large.

The transition from LIBOR to SOFR can serve as a recent example of government influence and intervention spirals.⁴ While LIBOR-related instruments had evolved over many years according to the needs of the market, the new reference rate has been imposed by regulatory fiat with little regards to the impact on markets and has left investors forced to use SOFR struggling with the absence of a term rate and the fact that the options on the key global money market rate have all of a sudden become exotic (Asian). Faced with the consequences of little initial liquidity in SOFR-related instruments, officials tried ad-hoc solutions such as allowing a SOFR term rate, but still want to nudge the market to their envisioned ideal by prohibiting a secondary market for that term rate, which results in a new set of imbalances. Likewise, the spikes in SOFR visible in Figure 11.3 were the result of the state subjecting banks to balance sheet constraints as illustrated by the quote from Dimon in Chapter 18, making them unable to provide arbitrage capital in times of a crisis. This “market failure” gave officials an excuse to “help out” with a repo facility run by the Fed, i.e. by acquiring another function that the free market had provided reasonably well before the state started the intervention spiral.

With regards to (2), the high profits of arbitrage trades when governments intervene in markets are a clear indication that the improvement in capital allocation and therefore of living standards resulting from the actions of

²Ludwig von Mises (1912) *Theorie des Geldes und der Umlaufsmittel*, 2nd edition, p. 232.

³Or alternatively to concentrate on those relative value relationships likely to be unaffected by political market interventions, for example, those expressed in the higher factors of a PCA.

⁴Huggins and Schaller (2022) provide more details on the topics of this paragraph.

arbitrageurs are of considerable value to society. In our view, one implication is that government intervention involves paying unnecessarily high fees to arbitrageurs.

In summary, a democratic and capitalist society choosing excessive market intervention is contradicting itself. The intervention leads to lower living standards, so that the superficial political goals threaten the capitalistic foundation of that society. Choosing market intervention means choosing to pay an unnecessarily high price to arbitrageurs in order to maintain functioning capital allocation *despite* the intervention. Transferring taxpayer funds to arbitrageurs is an act of free will on the part of politicians.

That contradiction within society manifests itself as opposition between arbitrageurs and politicians. It leads to politicians considering the actions of arbitrageurs as being opposed to their goals and to ignoring the crucial service of arbitrage to society. The less a capitalist society understands its own foundations, the less it and its politicians understand the benefits of arbitrage.

THE MISREPRESENTATION OF ARBITRAGE BY POLITICIANS

A fair representation of the function of arbitrageurs in a market suffering from political intervention would be something like this. The government decides to create a market imbalance, which arbitrageurs correct, continuing to provide the service of a functioning free market to society and profiting from the correcting imbalance. Focusing only on their interventionist goals, politicians tend to ignore the *benefits* of the actions of arbitrageurs and simply see them *profiting* from *opposing* the intentions of the government.

The narrow, interventionist perspective of governments explains the common misrepresentation of the function of arbitrage as “profit from opposing the state”.

- **It isolates the fee from the service.** Arbitrageurs profit because they re-establish market efficiency, despite government intervention disturbing rational capital allocation. They transform the immense cost of sub-optimal capital allocation into the small cost of their arbitrage profit. For a very modest fee, they maintain for society the invaluable benefit of free markets.
- **It confuses cause and effect.** The free decision of governments to disturb market equilibriums is the cause of the cost to society. The opposition between arbitrageurs and politicians is only the superficial manifestation of the contradiction in the heart of a capitalist society which has chosen to intervene in the free markets it requires. And it is the government and not the arbitrageurs who have caused that contradiction.

Arbitrageurs provide a service to society. Unfortunately, they also provide a convenient scapegoat for governments frustrated by the results of their interventions. In this case, governments confuse cause and effect. Governments point to arbitrageurs as the cause of the costs borne by society, motivating government intervention. They cite the profits of arbitrageurs as an unjustifiable cost for society, failing to link the profits arbitrageurs earn with the benefits they provide by promoting more efficient markets, more effective capital allocation, greater productivity, and higher standards of living.

What can a relative value analyst reply? All these “arguments” painting arbitrage as being opposed to society can easily be refuted by pointing out that the arbitrageurs are acting in line with the well-understood interests of a capitalist society, while its politicians, lacking that understanding in pursuing excessive interventionism, are not. The fact that arbitrageurs are able to profit from government intervention, at the cost of governments, is consistent with arbitrageurs acting to protect an essential element of capitalism, which is being attacked by governments, to the detriment of society.

CONCLUSION: POLITICAL IMPLICATIONS OF RELATIVE VALUE

Relative value analysis is founded on the presumption of free markets populated by rational actors. As a result, taking relative value positions requires faith that government intervention is ephemeral and not the first steps on the slippery slope leading to the abolition of free markets.

In recent years, however, that faith has been tested, as interventionist politics have become a more prominent feature of the market, working against the interests of efficient capital allocation. In contrast, the economic function of relative value analysis continues to support the efficient allocation of capital, via the improved informational efficiency that results when self-interested arbitrageurs identify and exploit pricing anomalies in the capital markets.

As part of the campaign to justify increased market intervention, governments and their apologists have found it useful to demonize speculators, branding them “locusts” and characterizing the foundation of neoclassical economics as “market fundamentalism”, a pejorative designed to impugn the motives of those who advocate market mechanisms for allocating resources. But the vast majority of speculators also happen to be citizens of democracies and as such understand the roles played by the implementation and enforcement of regulations, including those that constrain the space of possible outcomes within otherwise free markets.

However, governments no longer seem content merely to constrain the space of possible economic outcomes. Instead, they intervene with increasing force and frequency in an attempt to engineer specific economic outcomes.

As a result, capital is being allocated increasingly on the basis of political processes and government intervention rather than on the basis of productivity enhancement and economic return. We agree that even free markets can be subject to bouts of irrational exuberance, resulting in capital allocations that at times produce poor results. But we don't believe history supports the notion that increased government intervention results in more effective capital allocation. In fact, we believe a fair reading of history supports precisely the opposite view that improvements in living standards over time tend to vary inversely with the level of government intervention in the markets.

If the demonization and demagoguery are left unanswered, the risk is that societies will restrict speculative activities to the point that the informational efficiency of the markets is diminished, reducing the effectiveness of informed capital allocation. Therefore, it's important that we remind ourselves of the important role played by arbitrageurs.

Arbitrageurs are no more motivated by self-interest than were the butchers, brewers, and bakers of whom Adam Smith wrote in 1776, nor is the informational efficiency contributed by arbitrageurs any less praiseworthy than the meat, beer, and bread in Smith's examples. But because market efficiency is a more abstract contribution, and because arbitrage at times has generated significant returns for its practitioners, arbitrageurs, and speculators, they appear as attractive scapegoats for politicians presiding over financial crises. But scapegoating is a poor substitute for sound public policy, and we're proud to advocate for a strong, effective, and continuing role for arbitrageurs in helping to ensure efficient markets, productive capital allocation, and higher living standards for all.

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